LOUISIANA PUBLIC SERVICE COMMISSION

ORDER NUMBER U-37483-A

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE.

Docket No. U-37483, In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.(Notice of intervention or protest shall be within 15-days of the date of this bulletin.)

(Decided at the December 17, 2025 Business and Executive Session.)

ORDER

I. BACKGROUND

On January 14, 2025, Beauregard Electric Cooperative, Inc, ("BECi" or "Cooperative") filed an Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief ("Application"). BECi's Application was published in the Commission's Official Bulletin No. 1341 dated January 17, 2025, with a fifteen-day intervention period. Mr. Brian Zelenak intervened timely.[1]

The Commission authorized BECi's current interim rates in Order No. U-37483 (the "Order") dated May 8, 2025. The Order authorized BECi to increase its rates by 40% of the overall requested base rate increase and implement tariff changes related to High Load Factor ("HLF") and HLF Air Separator Plant.

Staff reviewed BECi's Application and accompanying testimony and exhibits. In addition, Staff reviewed responses to data requests that were submitted to the Cooperative seeking further information on its operation and financial results. On July 11, 2025, Staff filed *Direct Testimony and Staff Report of Thomas Broady in Support of the Staff Recommendation* ("Direct Testimony"). On August 1, 2025, Staff filed *Cross-Answering Testimony of Thomas Broady* ("Cross-Answering Testimony").

On September 30, 2025 BECi filed the Rebuttal Testimonies of Justin Proctor and Michael Viator. As a part of BECi's rebuttal, the Cooperative indicated that Staff and BECi had reached a preliminary settlement.

On November 3, 2025, BECi and Staff subsequently entered into an Uncontested Stipulated Settlement ("Settlement"). This executed Settlement was filed into the record, as part of the *Joint Motion to Convert to Uncontested Stipulation Hearing* ("Joint Motion"). A hearing on

[1] Mr. Zelenak's intervention was dismissed by ALJ Guillot as a part of *Ruling on Exception of No Right of Action and Motion to Strike Intervention* filed on October 13, 2025.

the Settlement was held on November 13, 2025.

II. COMMISSION AUTHORITY

The Commission exercises jurisdiction in this proceeding pursuant to Article IV, Sec. 21 of the Louisiana Commission.

La. Const. Art. IV. Sec. 21 provides in pertinent part:

> The commission shall regulate all common carriers and public utilities and have such other regulatory authority as provided by law. It shall adopt and enforce reasonable rules, regulations and procedures necessary for the discharge of its duties, and shall have other powers and perform other duties as provided by law.

III. STIPULATED SETTLEMENT

On November 3, 2025, BECi and Commission Staff, filed the Joint Motion, including Uncontested Stipulated Settlement Term Sheet, Settlement Testimony from Thomas Broady for Staff, and Settlement Testimony from Michael Viator and Justin Proctor on behalf of BECi. The Settlement resolved all issues in this proceeding. Terms of the Stipulated Settlement are:

1. BECi shall be authorized to implement an increase in its base rates to achieve a revenue requirement resulting in a Modified Debt Service Coverage ("MDSC") ratio of 1.80, which equates to approximately $7,750,000.
2. BECi's incremental revenues in the approximate amount of $1,000,000 shall be allocated and dedicated to Ordinary Replacement within BECi's Capital Work Plan and, more particularly, vegetation management (utility servitude trimming, dead tree removal, etc.) and storm hardening measures (e.g., infrastructure resilience improvements). BECi shall submit to Staff annual reports detailing expenditures of such incremental revenues and miles of utility servitudes trimmed with the Cooperative's corresponding FRP annual report filing.
3. BECi shall not implement an emergency reserve fund as part of this proceeding.
4. BECi is authorized to reestablish a formula rate plan ("FRP"), as fully described in BECi's FRP Rider. This FRP shall be for a three-year term, with FRP annual report filings in 2027, 2028, and 2029 for calendar test years 2026, 2027, and 2028.
    a. BECi's FRP shall allow for FRP rate implementations resulting from FRP annual reviews on or after the first billing cycle of December of the filing year.

b. BECi's FRP shall provide that the Cooperative shall seek to earn a MDSC ratio of 1.80, with a bandwidth set to 1.70-1.90. If BECi's Calculated MDSC ratio falls either below 1.70 or above 1.90, rates shall be adjusted to meet a midpoint of 1.80. If the Calculated MDSC ratio falls within 1.70-1.90, there will be no change in rates.

c. BECi shall file with each FRP annual report an attachment showing BECi's capital spending during the test year which improved or otherwise impacted the Cooperative's reliability metrics, regardless of whether such capital spending is reflected on BECi's income statement or not. The following shall accompany this attachment:

   i. A narrative outlining and explaining such capital spending;

   ii. A plan for such capital spending for the Cooperative's next fiscal year; and

   iii. A review of such capital spending during the test year that evaluates whether such spending improved BECi's reliability metrics.

5. The Parties agree to those portions of the Staff Report and Recommendation pertaining to adjustments to test year expenses, implementation of a Power Cost Adjustment – Single Factor Rider, an Industrial Cost-Plus rate design, and the remaining system rate designs as filed.

6. BECi shall file into the record of this proceeding, along with a copy to the Commission's Utilities Division, a new or revised tariff reflecting the Commission's action within thirty (30) days of the issuance of an Order in this proceeding. All tariff filings shall be made in accordance with the Commission's General Order No. R-34738 dated July 1, 2019.

7. Upon satisfaction of the above condition(s) and approval of the tariff filing by Staff, new rates shall be deemed effective. Any new rates charged to members prior to satisfying the above condition(s) shall be considered a direct violation of the Commission's Order and subject to refund with interest.

8. This action is taken without prejudice to the Commission's authority to make investigations and require any reasonably necessary change that the Commission may legally find to be in the public interest.

9. Except as expressly stated herein, this Agreed Term Sheet has no precedential effect and

shall be without prejudice to the right of any party to take any position in future proceedings. The provisions of this Agreed Term Sheet may not be used either as an admission of any sort or as evidence in any proceeding whatsoever, except to approve or enforce the terms hereof. All oral or written statements made during negotiations on this Agreed Term Sheet are governed by Louisiana Code of Evidence Article 408.

10. This Settlement shall in no way be considered or used as evidence or conclusory determination of any current or future LPSC reviews or audits.

IV. COMMISSION CONSIDERATION

This matter was considered at the Commission's December 17, 2025 Business and Executive Session. On motion of Vice Chairman Skrmetta, seconded by Commissioner Coussan, and unanimously adopted, the Commission voted to accept the Uncontested Stipulated Settlement filed into the record on November 3, 2025.

IT IS THEREFORE ORDERED THAT:

1) The Uncontested Stipulated Settlement filed into the record on November 3, 2025 is accepted; and
2) This order is effective immediately.

BY ORDER OF THE COMMISSION
BATON ROUGE, LOUISIANA
January 8, 2026

DISTRICT IV
CHAIRMAN MIKE FRANCIS

DISTRICT I
VICE CHAIRMAN ERIC F. SKRMETTA

DISTRICT V
COMMISSIONER FOSTER L. CAMPBELL

DISTRICT III
COMMISSIONER DAVANTE LEWIS

DISTRICT II
COMMISSIONER JEAN-PAUL P. COUSSAN

BRANDON M. FREY
SECRETARY